

Trading v/s Investing

Trading refers to buying and selling of shares to benefit from the short term fluctuations of the market. It focuses on market value rather than the true value. Traders show interest when there is a fluctuation in sentiments which leads to a rise and fall in market prices. They are uninterested in the company's business and its growth. They are indifferent to the quality of goods/services and quantity of the earnings of a company. Thus, trading purely focuses on market fluctuations.

Investing incorporates a long-term approach to acquiring stocks with the intention of holding and then selling them when their real worth increases.

Investors are interested in the company's business and growth. They keep a track of the quality and quantity of earnings, which ultimately results in an increase in true value followed by a rise in the market value. Here investors ignore short-term movements of stock price.

Short Term



Long Term

Trading uses a short-term approach to buy and sell shares. Its duration can range from a few minutes to a few months.

Investing refers to a long-term approach to the markets. The investment usually lasts for 3-5 years or more as we try to benefit from growth in true value. Since such growth demands a rise in quantity and quality of earnings, it won't reflect in the market in a few months.

Technical Analysis



Fundamental Analysis

Trading follows technical analysis. Technical analysis involves the usage of price and volume data of a stock to examine the demand and supply of the stocks. How much has the price changed? What is the volume behind it? Furthermore, to interpret the same, they apply various tools of technical analysis and generate trading ideas.

Investors conduct fundamental analysis. Investing aims for an increase in quantity and quality of earnings. Thus, Fundamental analysis involves understanding the industry and company, its products, competition, and management. These factors lead to changes in quality and quantity of earnings which ultimately affect the price of stock going ahead.

Thus, traders simply analyze and pay attention to the pricing and volume of trades using charts. They are uninterested in the company's business and its development. They are indifferent to the quality of the earnings of a company.

Investors do not focus on price movement. They rather look for attractive valuation, irrespective of its day-to-day movement, for the companies they like. Factors such as price and volume are not as valuable to the long term investors.